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Standard Chartered | Asia Pacific

3Q25 Solid Results; guidance revised higher

Reaction to earnings

Strengthens our thesis
Impact to our thesis

Modest upside
Financial results versus consensus

Modest revision higher
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

- Revenue 3%/6% above cons./MSe. NIM contracted by 4bps QoQ to 1.94% (rate path suggests 55bps NIM headwind in 2026e, in-line with MSe for flat YoY NII in 2026e).
- Non-NII beat mainly from wealth, but CIB ahead in most product lines. Wealth NNM inflow picked up to \$8bn in 3Q vs. \$3bn in 2Q). Ventures softer than expected.
- Costs and ECL were below. HK CRE exposure down US\$0.3bn QoQ. Provision up US\$19mn QoQ, mainly due to US\$25m overlay top up. Private credit exposure <US\$3bn - portfolio review reveals no material issues.
- 2025 guidance upgrade: income growth to upper end of 5-7% range (previously bottom of range) at ccy. RoTE guidance upgrade to ~13% (previously approaching 13%). 2026 update RoTE guidance expected Feb 26, and new medium-term expectations to be provided in May 2026.
- This is a good set of results, with beat across different lines. Upgrade in guidance should support share price. Retain OW.

Exhibit 1: 3Q25 earnings review

STAN - US\$ mn	3Q24	4Q24	1Q25	2Q25	3Q25A	YoY	QoQ	3Q25 Cons	Actual vs. Cons	3Q25E	Actual vs. Mse
Net interest income	2,769	2,977	2,796	2,703	2,737	-1%	1%	2,672	2%	2,684	2%
Non-interest income	2,135	1,857	2,594	2,806	2,410	13%	-14%	2,309	4%	2,193	10%
Operating income	4,904	4,834	5,390	5,509	5,147	5%	-7%	4,981	3%	4,877	6%
Operating expenses (ex-levy)	(2,852)	(3,175)	(2,915)	(3,050)	(2,953)	4%	-3%	(2,980)	-1%	(3,001)	-2%
Bank levy	12	(102)	0	0	0	-100%	n/a	0	n/a	0	n/a
Total expenses	(2,840)	(3,277)	(2,915)	(3,050)	(2,953)	4%	-3%	(2,980)	-1%	(3,001)	-2%
Pre-provision profit	2,064	1,557	2,475	2,459	2,194	6%	-11%	2,001	10%	1,876	17%
Loan impairment	(178)	(130)	(219)	(117)	(195)	10%	67%	(252)	-23%	(231)	-16%
Other impairment	(92)	(353)	(6)	(3)	(20)	-78%	567%	(19)	5%	(36)	-44%
Profit from Associates & JV	13	(27)	27	64	6	-54%	-91%	11	-45%	11	-45%
Underlying profit before tax	1,807	1,047	2,277	2,403	1,985	10%	-17%	1,741	14%	1,620	23%
Exceptional items	(85)	(247)	(174)	(123)	(219)	158%	78%	(221)	-1%	(250)	-12%
Statutory Profit before tax	1,722	800	2,103	2,280	1,766	3%	-23%	1,520	16%	1,370	29%
Other Key Information											
CRD IV Capital (\$)	35,425	35,190	35,122	37,260	36,594	3%	-2%	36,500	0%	36,642	0%
CRD IV Risk Weighted Assets (\$bn)	248,924	247,065	253,596	259,684	258,378	4%	-1%	259,400	0%	261,156	-1%
CRD IV CET1 Ratio (%)	14.2%	14.2%	13.8%	14.3%	14.2%	(3bps)	(10bps)	14.1%	10bps	14.0%	17bps

Source: Company data, Company consensus, e= Morgan Stanley Research estimates

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Standard Chartered (2888.HK, 2888 HK)

Hong Kong Financials | Hong Kong

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$173.00
Up/downside to price target (%)	13
Shr price, close (Oct 28, 2025)	HK\$153.00
52-Week Range	HK\$158.50-85.95
Sh out, dil, curr (mn)	2,408
Mkt cap, curr (mn)	US\$47,419
Avg daily trading value (mn)	HK\$108

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (US\$)**	1.73	1.90	2.19	2.62
Prior EPS (US\$)**	-	-	-	-
EPS (US\$)§	1.57	2.03	2.15	2.51
ModelWare net inc (US \$ mn)	4,504	4,560	4,953	5,576
P/E	7.1	10.4	9.0	7.5
P/BV	0.7	1.0	1.0	0.9
ROE (%)	10.5	10.6	11.5	12.7
Div yld (%)	3.0	2.0	2.4	2.8
Core tier 1 capital ratio, Basel 3 (%)	14.2	13.4	13.1	13.1

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Standard Chartered (2888.HK)

Gordon Growth model, probability-weighted 20% bull, 70% base, 10% bear (based upon likelihood of different macro outcomes, as well as returns and franchise improvement).

Key assumptions:

- 11% cost of equity base, 10.3% bull, 15.5% bear.
- Return on allocated equity: 10.3% bull, 9% base, 15.5% bear

The result: target P/Bs 2.0x bull, 1.2x base, 0.5x bear.

Risks to Upside

- Faster-than-expected macroeconomic growth and resilience, causing better-than-expected asset quality
- Better-than-expected non-interest income growth
- Rates trough above 3%
- Bank able to return capital sooner than currently expected

Risks to Downside

- Incremental deterioration in asset quality
- Greater pressure on interest rates
- Asian macro climate deteriorates
- Failure to deliver of cost targets

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(as of September 30, 2025)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1499	41%	389	46%	26%	702	41%
Equal-weight/Hold	1618	44%	375	44%	23%	782	45%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	577	16%	88	10%	15%	234	14%
Total	3,698		853			1719	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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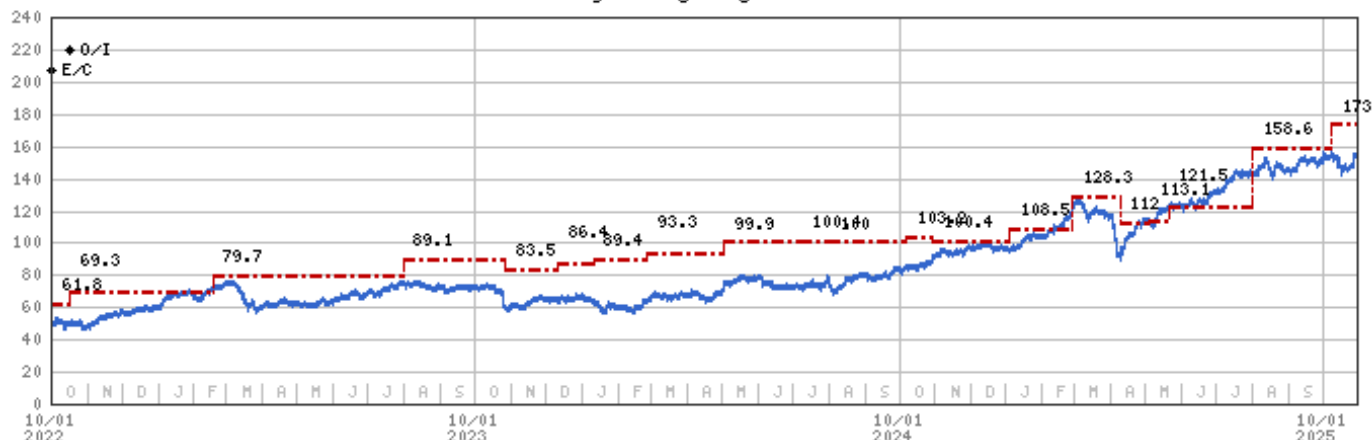
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Stock Price, Price Target and Rating History (See Rating Definitions)

Standard Chartered (2888.HK) - As of 10/30/25 GMT in HKD Industry : Hong Kong Financials



Stock Rating History: 10/1/20 : E/C; 10/17/22 : O/I

Price Target History: 8/6/20 : 42; 10/8/20 : 41; 1/12/21 : 51; 8/11/21 : 52; 2/16/22 : 58.5; 6/8/22 : 61.8; 10/17/22 : 69.3; 2/17/23 : 79.7; 7/31/23 : 89.1; 10/27/23 : 83.5; 12/12/23 : 86.4; 1/11/24 : 89.4; 2/26/24 : 93.3; 5/3/24 : 99.9; 7/8/24 : 100.4; 8/1/24 : 100; 10/7/24 : 103.2; 10/30/24 : 100.4; 1/4/25 : 108.5; 2/27/25 : 128.3; 4/9/25 : 112; 5/5/25 : 113.1; 5/21/25 : 121.5; 8/1/25 : 158.6; 10/8/25 : 173

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
 Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/28/2025)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$38.48
HSBC Holdings (0005.HK)	++	HK\$106.50
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$153.00
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$432.40

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* Historical prices are not split adjusted.

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